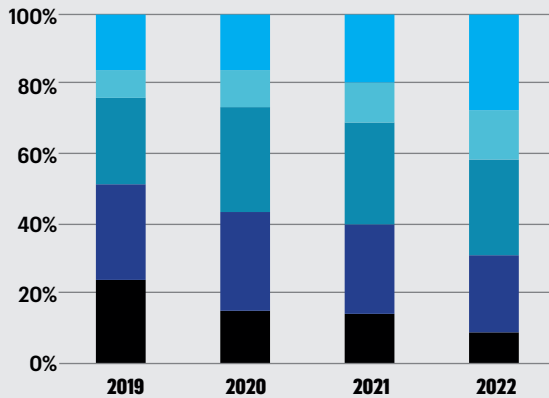


SHRINKING GROUND

The supply of affordable houses in the below ₹25 lakh and ₹25-45 lakh categories has fallen by 20 percentage points since pre-Covid-19 times

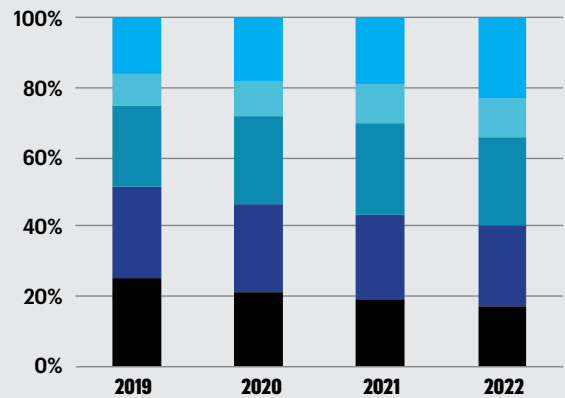


■ UNDER ₹25 LAKH ■ ₹25-45 LAKH ■ ₹45-75 LAKH
■ ₹75 LAKH-1 CRORE ■ ABOVE ₹1 CRORE

PERCENTAGE SHARE OF SUPPLY OF HOUSING SEGMENTS BETWEEN 2019 AND 2022

SOURCE REA INDIA, ANAROCK GROUP, INDUSTRY

Sales of affordable homes in the under ₹25 lakh and ₹25-45 lakh categories have fallen by 11 percentage points since pre-Covid-19 times



■ UNDER ₹25 LAKH ■ ₹25-45 LAKH ■ ₹45-75 LAKH
■ ₹75 LAKH-1 CRORE ■ ABOVE ₹1 CRORE

PERCENTAGE SHARE OF SALES OF HOUSING SEGMENTS BETWEEN 2019 AND 2022

SOURCE REA INDIA, ANAROCK GROUP, INDUSTRY

the reason why the number of units sold continues to surge... [as does] the share of pricier units in the overall market. As the size of the mid- and premium-segment housing swells, developers tend to move towards them as they offer better returns.”

Latest data from REA India—that owns proptech platforms such as Housing.com, PropTiger.com and Makaan.com—shows that amid the falling share of affordable homes in the market, the share of pricier houses has surged, with those priced between ₹45 lakh and ₹99 lakh now forming 37 per cent of the market, compared to 33 per cent in 2019. Moreover, homes priced above ₹1 crore have gained the most. While in 2019 they accounted for only 16 per cent of the market in the Top 8 cities, in 2022 their share went up to 23 per cent.

Vikas Wadhawan, Group CFO of REA India, says that the pandemic has played a key role in the current shift in the market where consumers who can afford it are buying larger units—a 3BHK or 3BHK with study—which are usually not available in the affordable category. “Apart from increasing costs of construction, this has led to a shift away from the [lower-priced] segment,” he says, adding that the government needs to rationalise the price cap on affordable homes based on location, as the price of land and construction costs vary widely across markets.

According to Amit Modi, Director at County Group and President of CREDAI Western UP chapter, increasing costs of construction and land prices are pushing affordable projects further away from cities. “The state of the affordable housing sector in NCR is in flux due to the rapid pace at which once-affordable localities are outpacing their affordability tag and entering mid-range categories. Even smaller units, like 1BHK and 2BHK apartments, have become unaffordable,” he says, adding that as a result, developers are seeking large parcels of cheap land on the outskirts of cities.

Apart from high input costs, the lack of government support has further aggravated the situation on the ground, say real estate players. According to Modi, despite recent measures such as the hike in export duty on iron products, reduction in import duty on iron ore and the Finance Minister announcing the government’s intent to reduce cement prices at an interaction with industry members recently, challenges persist. “The GST on cement is currently at 28 per cent—the highest category—making it difficult for developers to reduce costs,” he says. According to him, developers of affordable homes continue to face multiple challenges like the need for more land for development, rising construction costs and limited access to financing. Even though Housing for All continues to be the govern-